

451 White Horse Pike, Atco NJ

Recommendation: acquire at \$1,100,000, all cash. Ceiling \$1,250,000.

A corner drive-thru on a Philadelphia–shore highway, bought at the value of the building alone — with 2.5 developable acres thrown in for nothing.

WE PAY

\$1.10M

\$250/SF · they ask \$1.6M

DAY-ONE YIELD

12.0%

\$132,000 NNN, in place

TARGET RETURN

18.2%

24.2% with a mortgage

WORST CASE

+5.4%

No modelled case loses money

Why it is cheap: the sitting cannabis tenant pays 36% over market rent. We refuse to pay for rent that leaves with them — so we bid what the building is worth let to a bank or a doctor, and take everything else as free option value.

The whole deal on one page.

WE PAY \$1,100,000 \$250/SF · 12.0% day-one yield	IT IS WORTH \$1,252,500 Four independent methods	TARGET RETURN 18.2% 24.2% with a mortgage	WORST CASE +5.4% No modelled case loses money
--	---	--	--

WHAT IT IS

A 4,400 SF corner building on **3.13 acres** at US Route 30 and Cooper Folly Road, Atco NJ. Former bank branch with a vault and a **3-lane drive-thru**. 15,370 cars a day.

Let to a single-location cannabis dispensary at **\$132,000/yr absolute NNN** with 6.5 years left. No rent increases. Two personal guarantees, no corporate covenant.

Asking **\$1,600,000**.

WHY WE CAN BUY IT WELL

The dispensary pays **\$30.00/SF**. Any ordinary tenant pays **\$22.00**. That premium belongs to their licence, not our building, and it leaves when they do.

So we bid what the building is worth let to a bank or a doctor. **85% of the \$500,000 gap** between their price and ours is that single question.

At our price the cannabis rent, the renewal option and **2.5 spare acres are free**.

WHY THE DOWNSIDE IS CONTAINED

68% of our price is covered by land and empty shell alone. **78%** of it comes back as contracted rent before the lease even ends.

Break-even rent is **\$21.25/SF** against a \$22.00 market. Every one of six modelled exits makes money.

The honest caveat: a 55% mortgage turns the floor case into a small loss. Cash or low leverage keeps every case positive.

WHAT WE ARE ASKING THE COMMITTEE TO APPROVE

An offer of **\$1,100,000, all cash, 30-day diligence, 15-day close — with authority to \$1,250,000**. Walk away above \$1,300,000. Two items gate the growth case and must be confirmed in diligence: the tenant's sales figures, and whether the lease demises all 3.13 acres.

A corner drive-thru on a shore-bound highway, on three acres it barely uses.

THE PROPERTY

Address	451 White Horse Pike (US Route 30), Atco — Waterford Township, Camden County NJ
Building	±4,400 SF freestanding Tax assessor records show 4,206 SF — measure before closing
Site	±3.13 acres — building covers just 3.2%
Position	Corner of Route 30 and Cooper Folly Road Two frontages: signage both ways, and entry off the side road instead of across highway traffic
Built	1960 as a bank branch; refitted 2023 Vault and secure infrastructure still in place — a bank can move straight back in
Feature	3-lane drive-thru — rare, and the reason the tenant pool is wide
Traffic	±15,370 vehicles a day, Philadelphia to the Jersey Shore

THE TENANT AND THE LEASE

Tenant	Holistic Solutions — NJ medical and adult-use cannabis dispensary Founded 2018. One location. Private. Three-plus years trading here
Covenant	Two personal guarantees No parent company, no credit rating, no financials in the offering
Lease type	Absolute NNN — tenant pays taxes, insurance, maintenance, roof and structure Genuinely valuable: the landlord has no obligations at all
Term	1 Feb 2023 to 31 Jan 2033 — 6.5 years left
Rent	\$132,000/yr — \$30.00/SF, flat No increases for the entire ten-year term. This is the flaw we buy at a discount and intend to fix
Option	One 5-year renewal at \$154,000, entirely at the tenant's choice A 14.0% yield on our basis if they take it — upside, never underwritten as income

451 WHITE HORSE PIKE, ATCO NJ — INVESTMENT COMMITTEE

Zoning

Planned Highway Business, Pinelands Regional Growth Area
The most development-friendly of the six

THE TWO FEATURES THAT DRIVE THIS WHOLE ANALYSIS

3

They are selling us a rent that walks out the door. We are buying the building underneath it.

WHAT WE ARE BUYING

Property	4,400 SF freestanding building on 3.13 acres , corner of US Route 30 and Cooper Folly Road Former bank branch. Vault, 3-lane drive-thru, big parking field. 15,370 cars a day.
Tenant	Cannabis dispensary, one location , private Three years trading here. Two personal guarantees, no corporate covenant.
Lease	\$132,000/yr, absolute NNN , 6.5 years left Tenant pays taxes, insurance, roof, structure. Landlord does nothing. No rent increases.
Asking	\$1,600,000 — an 8.25% yield Priced as if \$30/SF were a market rent. It is not.
We offer	\$1,100,000 — a 12.0% yield \$250/SF, below replacement cost and below the county's own valuation.

THE WHOLE THESIS

The dispensary pays **\$30/SF**. Any ordinary tenant pays **\$22**. That 36% premium belongs to their licence, not to our building — and it disappears when they leave.

So we refuse to pay for it. We bid what the building is worth let to a bank or a doctor: **\$1.1M**.

WHAT THAT BUYS US FOR NOTHING

- 6.5 years of **above-market** cannabis rent
- The tenant's renewal option at \$154,000
- A 3-lane drive-thru on a corner
- **2.5 undeveloped acres** — the growth

The \$500,000 gap is one argument, not five.

BRIDGING THEIR ASK TO OUR OFFER

Their ask \$132,000 contract rent ÷ 8.25%	\$1,600,000
1. Use market rent, not their tenant's rent \$22.00/SF = \$96,800, capitalised at the same 8.25%	(\$426,700)
2. Widen the yield for lease quality 8.25% → 8.75% for flat rent, 6.5 years, personal guarantees	(\$67,000)
3. Negotiating margin	(\$6,300)
Our offer \$250/SF · a 12.0% yield on the rent in place	\$1,100,000

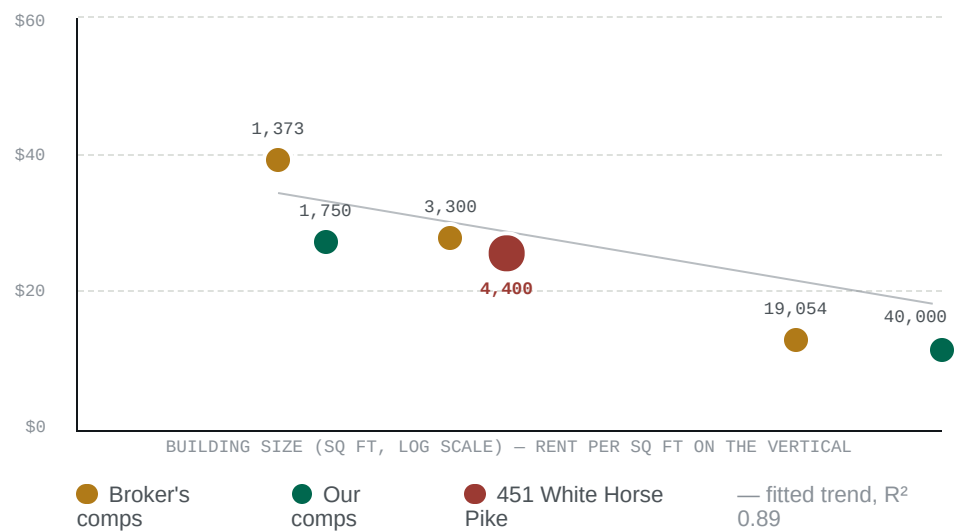
WHAT THIS MEANS AT THE TABLE

85% of the gap is a single question: is \$30.00/SF a market rent? Everything else is rounding. Do not negotiate the cap rate — negotiate the rent, and let their own comps settle it.

WHAT THEY SAY — AND HOW WE READ IT

THEIR SELLING POINT	OUR READ
"8.25% cap rate"	Right arithmetic, wrong rent. On <i>market</i> rent their price is a 6.05% cap
"Absolute NNN, zero landlord obligations"	Agreed — genuinely valuable, and part of why our floor holds
"3-lane drive-thru"	Agreed — the best feature in the deal and the reason the tenant pool is wide
"±3.13 acres, room to expand"	Agreed — and we value it at <i>zero</i> , so it is free to us
"Below replacement cost"	At their \$363/SF, barely. At our \$250/SF, decisively
"Double personal guarantee"	Two individuals is not a covenant. Worth ~75bps, not a headline
"Barrier-to-entry licensed industry"	Cuts both ways — only two licences in the township means a thin re-let market for cannabis

Put both sets on one chart and the argument ends.



WHY THEIR HEADLINE NUMBERS ARE NOT COMPS

Four of the seven he sent are **build-to-suit** deals — a developer bought land and built to the tenant's design, so the rent repays *land plus construction*. That is why **7 Brew** appears to pay **\$303.92/SF** on a 510 SF coffee kiosk. Those are not lettings of an existing building, and they are excluded from the chart.

EVERY COMP, BOTH SIDES, SORTED BY SIZE

COMPARABLE	WHOSE	SF	\$/SF	USE?
7 Brew, Clementon	Theirs	510	\$303.92	No — BTS
501 Delsea Dr, Sewell	Theirs	1,373	\$39.33	Yes
340 S White Horse Pike, Berlin	Ours	1,750	\$27.43	Yes
804 N White Horse Pike, Magnolia	Ours	3,035	n/a	Yes
Avis Budget, Lawnside Signed June 2025, same road	Theirs	3,300	\$27.96	Best
Wendy's, Voorhees	Theirs	3,321	\$47.47	No — BTS
Wawa, Chesilhurst	Theirs	5,585	\$58.19	No — BTS
Walgreens, Blackwood	Theirs	14,870	\$31.19	No — BTS
ALDI, Voorhees	Theirs	19,054	\$12.96	Yes
706 N White Horse Pike, Magnolia	Ours	40,000	\$11.50	Yes

WHERE THAT LEAVES THE RENT — AND WE ARE BEING CONSERVATIVE

Fit the trend on second-hand buildings only and **4,400 SF lands at \$25.74/SF**. Adjust his best comp — Avis, same road, signed last June — for size, for Atco being weaker than Lawnside, and for a long lease rather than a three-year deal, and it gives **\$21.52**.

Every number in this deck uses \$22.00. We could have used \$25.74 and made the deal look better. We did not — and at \$25.74 the floor is simply higher than shown.

Four ways to value it. All four land above our offer.

METHOD	HOW IT WORKS	VALUE	WEIGHT	VS OUR OFFER
Current income	The \$132,000 rent valued at 9.75% — the yield this lease quality should command	\$1,353,800	40%	+23%
Tax assessor	Camden County's own equalized value — an independent third party with no stake	\$1,271,000	20%	+16%
County price per foot	Camden County retail averages ~\$273/SF applied to 4,400 SF	\$1,201,200	15%	+9%
Ordinary-tenant income	Let at \$22/SF to any normal tenant, valued at 8.75% — the floor	\$1,106,300	25%	+0.6%
Weighted value	All four combined	\$1,252,500	100%	+14%

WE BUY AT THE FLOOR

Our \$1,100,000 sits within \$6,300 of the *lowest* of the four methods — the value with no cannabis premium whatsoever. Everything above that line is margin.

AN INDEPENDENT VOICE

Camden County's assessor already values this at **\$1,271,000**. That is the hardest single fact to argue with across the table, and it costs us nothing to cite.

WHERE WE STOP

Ceiling **\$1,250,000** — just under weighted value, and the point where debt stops adding return. Above **\$1,300,000** we would pay more than it is worth.

Every outcome makes money. The good one makes 18%.

TEN-YEAR HOLD	WHAT HAS TO HAPPEN	ALL CASH	55% MORTGAGE
Floor	Tenant fails. Land never developed. Building re-let at the bottom of the market.	+5.4%	-3.7%
Base	Building re-let to a doctor or a credit union. We never touch the land.	+8.7%	+7.2%
Growth	Land monetised and building re-let on a proper lease with increases.	+18.2%	+24.2%
Or flip it	Just sell when the lease ends in 2033. Land ignored entirely.	+12.0%	+14.9%

WHY THE FLOOR HOLDS

Land and empty shell alone are worth **\$750,000** — 68% of our price. Only ~\$350,000 is genuinely at risk, against an income stream of \$132,000 a year.

CASH BACK FAST

Contracted rent to 2033 is **\$858,000** — **78%** of the purchase price returned before the lease even matures. No renewal, refinancing or resale required.

ONE HONEST CAVEAT

Debt cuts both ways. In the floor case a 55% mortgage turns +5.4% into **-3.7%**. If the floor must hold in every case, buy for cash or borrow 35–40%.

Six tenants want this building.

The two best need almost no work.

WHO TAKES IT	RENT/SF	YIELD TO US	TIME TO FILL	OUR COST	LEASE LENGTH	DO THEY STAY?
Urgent care, dental, vet Deepest pool in South Jersey; drive-thru becomes a covered patient drop-off	\$22–26	8.8–10.4%	12–17 mo	\$264,000	10–15 yrs	Yes — they sink capital in and never move
Bank or credit union The building already is one — vault, drive-thru and teller line all transfer	\$22–26	8.8–10.4%	6–10 mo	\$22,000	10–15 yrs	Yes — cheapest and fastest route back to rent
Another cannabis operator	\$28–34	11.2–13.6%	12–18 mo	\$66,000	10 yrs	Yes, but only two licences exist in the township
Fast food or coffee drive-thru	\$38–48	7.6–9.6%	18–24 mo	\$286,000	15–20 yrs	Yes — but needs the box split; better on the spare land
Daycare or nursery	\$18–22	7.2–8.8%	18–30 mo	\$308,000	10–15 yrs	Yes, but slowest to start
Ordinary shop or service	\$18–22	7.2–8.8%	8–12 mo	\$132,000	5–10 yrs	No — rolls every five years. The outcome to avoid

THE OBJECTIVE: ONE RE-LETTING, NOT PERPETUAL CHURN		HOW LONG, STEP BY STEP	
51 WHITE HORSE PIKE, ATCO NJ INVESTMENT COMMITTEE	We want a single re-letting to a tenant on a 10–15 year lease with rent increases — then it goes quiet for a decade. That is why medical and banking rank first: they spend heavily fitting out	Find a tenant	4–9 mo
		Agree the lease	2–3 mo

The building sits on 3.13 acres. It uses 3% of them.

IDLE LAND 2.48 ac Coverage is 3.2% of the site	NEW INCOME \$100k Per year, on land earning zero	VALUE CREATED \$931k Net of build-out cost	YIELD ON COST 12% → 21% On the same \$1.1M basis
---	---	---	---

TWO INCOME STREAMS, NEITHER OF THEM PAID FOR

\$80,000 **Ground-lease a pad.** Fast food, coffee, car wash or a medical building. The tenant builds at their own cost; we let them the dirt.

\$20,000 **Licence space for EV charging.** Six to eight rapid chargers. The operator funds all the equipment and pays us a share of revenue.

THE SELLER'S OWN COMPS PROVE THIS

He sent us drive-thru pad deals on this exact kind of highway: **7 Brew** at **\$155,000 a year**, **Wendy's** at **\$157,659**, **Wawa** at **\$325,000**. Those are build-to-suit rents; a ground lease runs 40–55% of that. Our \$80,000 is the conservative read.

WHAT IT DOES TO THE DEAL

Buy at our offer	\$1,100,000
Monetise the spare land	\$2,508,000
Re-let building on a proper lease	\$2,492,000
Ordinary tenant → it becomes mortgageable	\$2,653,000
Less land works, fit-out, letting fees	(\$466,800)
Stabilised value	\$2,186,000

Roughly **double our entry price** over about ten years — about 7% compound growth in value, on top of the rent collected the whole way through.

Our price is what makes this financeable at all.

High-street banks will not lend against a cannabis-let building — which is exactly why these assets sell cheap. This needs a private lender or credit union at roughly 9–11%. At our price the numbers work comfortably. At theirs, a lender would decline.

PURCHASE PRICE	LOAN AT 55%	CASH IN	ANNUAL LOAN COST	RENT COVERS IT	CASH RETURN	OVERALL RETURN
\$1,100,000 — ours	\$605,000	\$495,000	\$65,972	2.00×	13.3%	14.85%
\$1,250,000 — ceiling	\$687,500	\$562,500	\$74,968	1.76×	10.1%	9.05%
\$1,600,000 — their ask	\$880,000	\$720,000	\$95,959	1.38×	5.0%	-3.32%

WHAT 2.00× COVER MEANS

The rent is double the loan payment. Lenders want 1.25× and get nervous below it. At their ask the cover falls to 1.38× — thin enough that most lenders decline outright.

THE CROSSOVER IS \$1,250,000

At our price, borrowing **adds** nearly 3 points. At \$1.25M it is neutral. Above that the loan costs more than the building earns. **The same ceiling our valuation produced, reached independently.**

AND IT IS A NEGOTIATING CARD

Because almost no buyer can finance this, **all cash in 45 days** is worth real money to a seller whose alternative is a buyer whose loan dies in diligence. Sell that hard.

What kills this deal, and why it does not.

THE REAL RISK: CAN THE TENANT PAY?

Under this lease the shop carries rent *plus* taxes, insurance and upkeep — **\$193,400 a year**, or \$43.95 per foot. It needs roughly **\$2.15M of annual sales** to carry that comfortably.

IF THE SHOP TURNS OVER	\$2.0M	\$2.5M	\$3.0M
Occupancy cost	9.7%	7.7%	6.4%
Verdict	Struggling	Tight	Fine

WHY IT DOES NOT SINK US

We priced the building as if the tenant were **already gone**. Our \$1.1M is what it is worth let to any ordinary tenant at \$22/SF.

We do not need this dispensary to survive.

FOUR LAYERS UNDER THE PRICE

- \$1.1M

Ordinary-tenant value. Our offer equals what the building fetches let to a bank or doctor. Zero exposure to the cannabis rent.
- 68%

Covered by dirt and shell. \$750,000 of hard asset value behind a \$1.1M price.
- \$21.25

Break-even rent per foot versus a \$22.00 market — and the seller's own signed comp on this road confirms \$22.
- 2.00×

Debt cover. Rent is double the loan payment. Lenders want 1.25×

TWO THINGS TO CONFIRM BEFORE HARD MONEY

1. The tenant's actual sales figures — the single most valuable number in diligence.
2. Whether the lease demises all 3.13 acres. If it does, the land plan waits until 2033. *Our price does not depend on it either way.*

How wrong can we be and still be fine?

IF WE ARE WRONG ABOUT THE TENANT RENEWING

CHANCE THEY RENEW	AT \$1.10M	AT \$1.25M	AT THEIR \$1.60M
20% — deeply pessimistic	10.50%	7.77%	2.85%
40% — our assumption	12.00%	9.26%	4.33%
60%	13.36%	10.62%	5.68%
90% — near certain	15.22%	12.47%	7.50%

IF WE ARE WRONG ABOUT MARKET RENT

MARKET RENT PROVES TO BE	ANNUAL RENT	YIELD TO US	VALUE
\$16.00 — below anything on the road	\$70,400	6.40%	\$804,600
\$18.00 — bottom of the range	\$79,200	7.20%	\$905,100
\$22.00 — our assumption	\$96,800	8.80%	\$1,106,300

BOTH TESTS POINT THE SAME WAY

Cut the renewal odds in half and our offer still returns **10.5%**. Market rent would have to fall to about **\$18/SF** — below every comparable on this corridor except strip units — before our price stopped being covered by the building alone.

The case does not rest on any single assumption.

WHO BUYS IT FROM US IN 2033

Cannabis tenant renewed, 5 years left	\$1,664,900	Cannabis specialists only — cash buyers, small pool
Re-let to a bank on a long lease	\$1,320,000	Ordinary tenant → banks will lend → the national market opens
Re-let to a medical tenant	\$1,362,600	Medical property is in stronger demand still
Empty — land and building only	\$750,000	A local owner-operator or developer

THE COUNTER-INTUITIVE POINT

Losing the cannabis tenant is **not purely bad news**. An ordinary tenant on a long lease makes the building mortgageable, which widens the buyer pool from a handful of cash specialists to the

What we verify before a dollar is at risk.

THE TWO THAT ACTUALLY MATTER

1. The tenant's sales figures. The shop carries \$193,400 a year all-in and needs roughly **\$2.15M of turnover** to do it comfortably. This one number sets the renewal odds the model turns on.

2. Does the lease demise all 3.13 acres? If it does, the land plan waits until 2033. *Our price does not depend on it either way* — but the growth case does.

TENANT AND LEASE

- Full lease and every amendment; confirm who really pays for roof, structure and plant
- Both personal guarantees — what they cover, any caps, whether they burn off
- Guarantors' personal financial statements
- Tenant estoppel and the payment history since 2023

LEGAL, PLANNING AND BUILDING

- Cannabis licence status, expiry and any site-specific conditions
- Township approval, and whether the second cannabis licence is still available
- Pinelands Commission position; mains drainage or septic
- Whether a pad can be split off and built on
- The actual current tax bill, and the case for an appeal at our price
- Measure the floor area (4,400 SF claimed vs 4,206 on record)
- Roof and plant condition; environmental and boundary surveys; title

ON THE EVIDENCE BEHIND THIS DECK

Rent and sale comparables are drawn from listing platforms, brokers' announcements and published market research. **Most are asking rates and marketed prices, not verified completed deals** — the Avis and Delsea lettings and the LivWell sale are the exceptions. All should be re-run against CoStar, Crexi and county deed records during diligence. Operating costs, fit-out, void and land figures are our estimates. This is an investment analysis, not a formal valuation.

Approve \$1,100,000. Hold to \$1,250,000.

OFFER \$1,100,000 All cash · 30-day diligence · 15-day close	CEILING \$1,250,000 Still returns 9.3%. Also where debt stops helping	WALK AWAY \$1,300,000 Above the property's own value	THEIR ASK \$1,600,000 Returns 4.3%. Decline
---	--	---	--

HOW WE WIN THE NEGOTIATION

- 1

Argue the rent, not the yield.

Do not debate whether 8.25% is right. Show that \$30/SF is not a market rent — and use *his own* signed comp on this road, which adjusts to \$21.52.
- 2

Point at the county.

Camden County's own equalized value is **\$1,271,000**. An independent third party already says this is not a \$1.6M building.
- 3

Sell certainty.

Almost nobody can finance a cannabis-let building. All cash in 45 days is worth real money against a buyer whose loan dies.

WHAT WE DO AFTER WE OWN IT

- Yr 0–1

Collect \$132,000. Confirm the lease boundary and the tenant's sales. Appeal the assessment.
- Yr 1–3

Entitle and let a pad; licence the EV charging. Spend ~\$150,000, add ~\$100,000 a year.
- Yr 5–7

Market 18 months early. Land a doctor or credit union on a 10–15 year lease **with increases**.
- Yr 8–10

Hold a passive, growing, mortgageable asset — or sell at ~\$2.19M.

IN ONE LINE

A corner drive-thru at **\$250 a foot**. Most of our money back before the lease ends, no modelled case that loses money, and 2.5 acres of free optionality that could double the asset.